

is likely to accumulate much more financial wealth by age 55, compared to a mechanical engineer or professor. These numbers live in an artificial world that economists call *ceteris paribus*, which means, “all else being equal.”

If I were to expand this table for yet another 10 or 15 years, well into the retirement of the professor and banker, you would see that the optimal amount of life insurance would get close to zero and their investment portfolios would look rather similar. I get into this story in the next few chapters, but after the human capital has been converted to financial capital, there is very little income left to hedge.

Either way, despite the highly idealized and very abstract nature of the preceding story and the numbers contained in Table 4.5, there are some reliable and robust qualitative takeaways that remain true regardless of the actual parameters and careers. These further reinforce some of the ideas I discussed in earlier chapters.

First of all, the age-old general rule that you should allocate your numerical age value to bonds—or 100 minus your age value to stocks—is somewhat meaningless at best, and wrong at worst. Even if you revise the number from 100 to 110 or even 120 it certainly doesn’t capture the essence or risk classification of your job. For some occupations and time points in your life the optimal allocation to equities might be greater than 100 minus age, and in other cases it might be lower. Your age value doesn’t contain enough information to determine a suitable asset allocation.

Likewise, borrowing money is traditionally viewed negatively. On a personal note, I know that it’s deeply frowned upon by individuals from a certain older generation. Yet, in this chapter I have argued that debt cannot be examined in isolation. Rather, it is a component of a bigger issue, which is the optimal total capital structure for You, Inc. When analyzed properly, it’s just another dimension of the asset allocation dilemma. For many individuals whose human capital and jobs are safe or reliable, there is a very strong argument to be made for having much more than 100% of your nest egg invested in the stock market. I myself practice what I preach and am leveraged to the tune of about 2-to-1. Indeed, I can attest that today this can easily be done with investment loans and margin accounts where the interest rate is quite reasonable.